Stock Market Investing 101

Module 3 Study Guide

Technical Analysis Essentials

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Reading Price Charts with Confidence

In this lesson: Identify Market Trends; Locate Support Floors; Find Resistance Ceilings; Map Pr

Key points

- Identify uptrends and downtrends using highs and lows
- Use support floors and resistance ceilings for price boundaries
- Observe old resistance transforming into new price support

Examples from the lesson

- I am so glad you joined us today for course Stock Market Investing 101.
- We are kicking off Module 3, Technical Analysis Essentials, with Lesson 1: Reading Price Charts with Confidence.
- Now let us talk about support and resistance, which are two of the most critical concepts in chart reading.
- Imagine we are analyzing a local banking stock over a six-month period to evaluate its price boundaries.
- The stock starts at a base level of TT$ 20.00 before buyers drive it up to a peak of TT$ 25.00.
- At TT$ 25.00, profit-taking creates a resistance ceiling, causing the stock to pull back down to TT$ 22.00.
- That TT$ 22.00 pullback level now establishes our firm support floor as local investors step in to buy the dip.
- The stock rallies again off support, breaking right through the old TT$ 25.00 resistance ceiling and peaking at TT$ 28.00.
- The previous resistance ceiling at TT$ 25.00 now transforms into our new support floor, demonstrating a classic chart pattern on the exchange.
- The price spread between our established TT$ 22.00 support floor and the TT$ 28.00 high peak is exactly TT$ 6.00.
- If you decide to buy near the TT$ 25.00 new support line, your potential downside risk back to old support is TT$ 3.00 per share.
- Finally, we used our TT$ 25.00 breakout example to prove how old resistance frequently converts into new support on the TTSE.

- In our next lesson, Lesson 2: Core Indicators: Moving Averages, RSI, and Volume, we will build on these chart patterns by adding technical momentum tools to confirm your trading signals.

Lesson 2: Core Indicators: Moving Averages, RSI, and Volume

In this lesson: Moving Average Basics; Reading the RSI; Confirming with Volume; Trinidad Wor

Key points

- Moving averages confirm overall trend direction @ "Moving averages confirm the direction of the trend"
- RSI checks momentum to prevent peak buying @ "RSI checks the momentum so you do not buy"
- Volume confirms institutional money drives movement @ "volume confirms that big money is driving the move"

Examples from the lesson

- You are tuned into "Stock Market Investing 101," Module 3: "Technical Analysis Essentials," and today we are tackling Lesson 2: "Core Indicators: Moving Averages, RSI, and Volume."
- Today, our goal is simple: apply the most widely used indicators to confirm a trend rather than guess at one.
- They do not predict the future, but they give you three distinct confirmation signals before you put your hard-earned dollars to work.
- Our first tool is the Moving Average, specifically the 50-day moving average.
- If the current price is sitting above its 50-day moving average, the overall trend is upward.
- The RSI measures momentum on a scale from 0 to 100.
- When the RSI goes above 70, the stock is considered overbought and might be due for a cooldown.
- When the RSI falls below 30, it is oversold.
- For confirming a healthy uptrend, we want to see an RSI sitting steadily between 50 and 65, showing steady buying interest without running too hot.
- Let us put all three together in a concrete example using a fictional stock on the local market called Caribbean Beverage Limited.
- Suppose you have been watching this stock, and its current share price climbs to TT$ 25.00.
- You check the 50-day moving average and see it is sitting comfortably at TT$ 22.00, meaning the price is well above its medium-term trend.
- The chart shows an RSI reading of 58, which is right in that ideal zone between 50 and 65.
- The average daily volume for this stock is 5,000 shares, but today's volume spikes to 15,000 shares traded.
- That three-fold increase in volume confirms strong market conviction behind the price

movement.

- The price premium over the moving average is TT$ 3.00, while the volume surge adds 10,000 shares over the normal daily average.
- All three indicators—price above the average, RSI at 58, and triple the normal volume—align to confirm a valid uptrend.
- Using all three together keeps you disciplined and stops you from chasing false spikes on the local exchange.
- Next up in Lesson 3, we will cover "Entry, Exit, and Risk Rules" so you can protect your capital every time you trade.

Lesson 3: Entry, Exit, and Risk Rules

In this lesson: Clear Entry Rules; Stop-Loss Exit Rules; Portfolio Risk Management; Position Siz

Key points

- Set clear objective entry triggers
- Establish strict exit stop-loss levels
- Size positions using exact risk formulas

Examples from the lesson

- I am your instructor for Stock Market Investing 101, Module 3, Technical Analysis Essentials.
- Today we are diving into Lesson 3, Entry, Exit, and Risk Rules.
- But reading a chart is only half the battle.
- Instead, wait for a confirmed technical signal, such as a stock bouncing cleanly off its fifty-day moving average on strong volume.
- A standard rule of thumb is never to risk more than one to two percent of your total investment portfolio on any single trade idea.
- Suppose you have a total investment portfolio worth TT$50,000.
- You decide that your maximum risk allowance on any single trade is one percent of that total portfolio.
- One percent of TT$50,000 gives you a maximum allowable risk of exactly TT$500 for the trade.
- Now let us look at the stock chart for a company on the local exchange trading at TT$20 per share.
- Based on your technical chart analysis, you set your entry price right at TT$20.
- Looking at recent support levels, you place your stop-loss exit at TT$18 per share.
- That means if the trade goes against you, you will lose TT$2 per share when your exit triggers.
- To find your exact position size, you divide your maximum allowable risk of TT$500 by your risk per share of TT$2.
- Five hundred divided by two equals 250 shares.

- Your total outlay for this position will be 250 shares multiplied by TT$20, which equals a total position value of TT$5,000.
- Notice that even though you bought TT$5,000 worth of stock, your actual money at risk if the stop is hit remains strictly TT$500.
- That brings us to the end of Module 3 on Technical Analysis Essentials.
- Next up, we begin Module 4, where we will tie together fundamental and technical analysis into a complete, personalized investment strategy.

Recap checklist — can you say each one?

Lesson 1: Reading Price Charts with Confidence

- ☐ Identify uptrends and downtrends using highs and lows
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Lesson 2: Core Indicators: Moving Averages, RSI, and Volume

☐ Moving averages confirm overall trend direction @ "Moving averages confirm the direction of the trend"

☐ RSI checks momentum to prevent peak buying @ "RSI checks the momentum so you do not buy"

☐ Volume confirms institutional money drives movement @ "volume confirms that big money is driving the move"

Lesson 3: Entry, Exit, and Risk Rules

- ☐ Set clear objective entry triggers
- ☐ Establish strict exit stop-loss levels
- ☐ Size positions using exact risk formulas